

RELUNO INTELLIGENCE REPORT

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Legal Risk Assessment: Partnership & Tech Transfer Memo

The provided document contains significant legal deficiencies and creates substantial exposure for the Company.

1. Equity & Vesting Risks

The lack of a **Vesting Schedule** or **Cliff** is highly irregular for a startup. Granting 40–50% equity immediately creates an **Equity Overhang**, rendering the company uninvestable for future **Venture Capital** or **Angel Investors**. Without a **Buy-Sell Agreement** or **Repurchase Option**, the Developer may exit immediately while retaining half the company, effectively paralyzing the entity.

2. Intellectual Property (IP) Fragmentation

The arrangement to allow the Developer to retain rights to "special sauce" AI logic is a **Critical Defect**. For an AI company, the **Core IP** is the primary asset. By failing to execute a **Proprietary Information and Inventions Assignment Agreement (PIIAA)**, the Company does not own its own product. Relying on a "friends" usage basis is legally unenforceable and creates a **Cloud on Title** that prevents any future acquisition or due diligence.

3. Liability & Indemnification

The clause indemnifying the Developer for all legal malpractice or damages resulting from "hallucinations" is commercially unreasonable. In the context of **Legal AI**, the company is acting as a **Service Provider**. Shifting 100% of the liability to the Company while leaving the Developer (who controls the code) immune from **Errors and Omissions (E&O)** liability creates an existential risk. If the AI provides unlicensed legal advice, the Company faces **Unauthorized Practice of Law (UPL)** charges and massive tort liability.

4. Compensation & Financial Controls

The "whenever there is extra cash" payment structure lacks defined **Key Performance Indicators (KPIs)** or **Milestones**. This ambiguity invites **Taxation** disputes with the IRS regarding **Employee vs. Independent Contractor** classification. Furthermore, the absence of a defined salary or payment structure lacks the certainty required for formal corporate bookkeeping.

5. Termination & Exit

The ability for the Developer to "take the code with them" upon termination effectively makes the Company a shell entity. This violates the fundamental concept of **Work Made for Hire** and ensures that the Company has no **Going Concern Value** if the partnership dissolves.